



**AGSTAR FERTILIZERS PLC**  
**INTERIM FINANCIAL STATEMENTS**  
**FOR THE PERIOD ENDED 31<sup>st</sup> MARCH 2017**

# AgStar PLC

## Company Income Statement



| (Rs.Mns)                                                     | Three months ended 31st March |                          |               | Year ended 31st March |                       |              |
|--------------------------------------------------------------|-------------------------------|--------------------------|---------------|-----------------------|-----------------------|--------------|
|                                                              | 2017                          | 2016                     | Change        | 2017                  | 2016                  | Change       |
|                                                              | Un Audited                    | Un Audited<br>(Restated) |               | Un Audited            | Audited<br>(Restated) |              |
| <b>Revenue</b>                                               | <b>515.91</b>                 | <b>182.56</b>            | <b>183%</b>   | <b>2,624.01</b>       | <b>1,458.52</b>       | <b>80%</b>   |
| Cost of sales                                                | (434.84)                      | (160.66)                 | 171%          | (2,192.75)            | (984.84)              | 123%         |
| <b>Gross profit</b>                                          | <b>81.07</b>                  | <b>21.90</b>             | <b>270%</b>   | <b>431.26</b>         | <b>473.68</b>         | <b>-9%</b>   |
| Other income                                                 | 2.23                          | (6.34)                   | -135%         | 62.70                 | 72.12                 | -13%         |
| Distribution expenses                                        | (20.10)                       | (9.71)                   | 107%          | (60.19)               | (44.89)               | 34%          |
| Administration expenses                                      | (38.09)                       | (27.17)                  | 40%           | (148.24)              | (125.50)              | 18%          |
| Other expenses                                               | (589.16)                      |                          |               | (589.16)              |                       |              |
| Net finance costs                                            | (36.16)                       | 31.38                    | -215%         | (38.24)               | 0.15                  | -25592%      |
| <b>Profit before tax</b>                                     | <b>(600.21)</b>               | <b>10.06</b>             | <b>-6066%</b> | <b>(341.87)</b>       | <b>375.56</b>         | <b>-191%</b> |
| Income tax expense                                           | (8.50)                        | (42.97)                  | -80%          | (64.88)               | (121.27)              | -46%         |
| <b>Profit for the period</b>                                 | <b>(608.71)</b>               | <b>(32.91)</b>           | <b>1750%</b>  | <b>(406.76)</b>       | <b>254.29</b>         | <b>-260%</b> |
| <b>Company Statement of Comprehensive Income</b>             |                               |                          |               |                       |                       |              |
| <b>Profit for the period</b>                                 | <b>(608.71)</b>               | <b>(32.91)</b>           | <b>1750%</b>  | <b>(406.76)</b>       | <b>254.29</b>         | <b>-260%</b> |
| <b>Other comprehensive income:</b>                           |                               |                          |               |                       |                       |              |
| Revaluation of property, plant and equipment                 | -                             | 96.53                    | 100%          | -                     | 96.53                 | 100%         |
| Deferred tax impact on revaluation of property, plant and eq | -                             | (12.61)                  | 100%          | -                     | (12.61)               | 100%         |
| Actuarial loss on post employment benefit obligations        | 3.29                          | 1.00                     | 229%          | 3.29                  | 1.00                  | 229%         |
| Income tax on other comprehensive income                     | (0.92)                        | (0.28)                   | 229%          | (0.92)                | (0.28)                | 229%         |
| <b>Other comprehensive income for the period, net of tax</b> | <b>2.37</b>                   | <b>84.64</b>             | <b>-97%</b>   | <b>2.37</b>           | <b>84.64</b>          | <b>-97%</b>  |
| <b>Total comprehensive income for the period, net of tax</b> | <b>(606.34)</b>               | <b>51.73</b>             | <b>-1272%</b> | <b>(404.39)</b>       | <b>338.93</b>         | <b>-219%</b> |

Figures in brackets indicate deductions.



| (Rs.Mns)                                                            | Three months ended 31st March |                          |              | Year ended 31st March |                       |              |
|---------------------------------------------------------------------|-------------------------------|--------------------------|--------------|-----------------------|-----------------------|--------------|
|                                                                     | 2017                          | 2016                     | Change       | 2017                  | 2016                  | Change       |
|                                                                     | Un Audited                    | Un Audited<br>(Restated) |              | Un Audited            | Audited<br>(Restated) |              |
| <b>Revenue</b>                                                      | <b>437.53</b>                 | <b>155.17</b>            | <b>182%</b>  | <b>2,784.89</b>       | <b>1,728.68</b>       | <b>61%</b>   |
| Cost of sales                                                       | (353.13)                      | (123.73)                 | 185%         | (2,268.93)            | (1,151.23)            | 97%          |
| <b>Gross profit</b>                                                 | <b>84.40</b>                  | <b>31.44</b>             | <b>168%</b>  | <b>515.96</b>         | <b>577.45</b>         | <b>-11%</b>  |
| Other income                                                        | 66.25                         | 7.69                     | 762%         | 77.32                 | 40.10                 | 93%          |
| Distribution expenses                                               | (33.45)                       | (17.71)                  | 89%          | (95.11)               | (68.04)               | 40%          |
| Administration expenses                                             | (53.27)                       | (54.54)                  | -2%          | (209.98)              | (188.99)              | 11%          |
| Other expenses                                                      | (5.63)                        |                          |              | (5.63)                |                       |              |
| Net finance costs                                                   | (35.82)                       | 28.66                    | -225%        | (38.46)               | 2.91                  | -1421%       |
| <b>Profit before tax</b>                                            | <b>22.48</b>                  | <b>(4.46)</b>            | <b>-604%</b> | <b>244.10</b>         | <b>363.44</b>         | <b>-33%</b>  |
| Income tax expense                                                  | (17.94)                       | (37.46)                  | -52%         | (77.59)               | (126.02)              | -38%         |
| <b>Profit for the period</b>                                        | <b>4.54</b>                   | <b>(41.92)</b>           | <b>-111%</b> | <b>166.51</b>         | <b>237.42</b>         | <b>-30%</b>  |
| Attributable to :                                                   |                               |                          |              |                       |                       |              |
| Owners of the parent                                                | 4.54                          | (41.92)                  | -111%        | 166.51                | 237.42                | -30%         |
| Loss from discontinued operations (net of tax)                      | (84.07)                       | (96.33)                  | 100%         | (189.85)              | (290.29)              | -            |
|                                                                     | <b>(79.53)</b>                | <b>(138.25)</b>          | <b>-42%</b>  | <b>(23.35)</b>        | <b>(52.87)</b>        | <b>-56%</b>  |
| Basic earnings per share (Rs.)                                      | (0.24)                        | (0.43)                   | -42%         | (0.07)                | (0.16)                | -56%         |
| <b>Consolidated Statement of Comprehensive Income</b>               |                               |                          |              |                       |                       |              |
| <b>Profit for the period</b>                                        | <b>(79.53)</b>                | <b>(138.25)</b>          | <b>-42%</b>  | <b>(23.35)</b>        | <b>(52.87)</b>        | <b>-56%</b>  |
| <b>Other comprehensive income:</b>                                  |                               |                          |              |                       |                       |              |
| Revaluation of property, plant and equipment                        | -                             | 96.53                    | -100%        | -                     | 96.53                 | -100%        |
| Deferred tax impact on revaluation of property, plant and equipment | -                             | (12.61)                  | -100%        | -                     | (12.61)               | -100%        |
| Actuarial loss on post employment benefit obligations               | 3.33                          | 1.07                     | 212%         | 3.33                  | 1.07                  | 212%         |
| Income tax on other comprehensive income                            | (0.93)                        | (0.30)                   | 212%         | (0.93)                | (0.30)                | 212%         |
| <b>Other comprehensive income for the period, net of tax</b>        | <b>2.40</b>                   | <b>84.69</b>             | <b>-97%</b>  | <b>2.40</b>           | <b>84.69</b>          | <b>-97%</b>  |
| <b>Total comprehensive income for the period, net of tax</b>        | <b>(77.13)</b>                | <b>(53.56)</b>           | <b>44%</b>   | <b>(20.94)</b>        | <b>31.82</b>          | <b>-166%</b> |
| Attributable to :                                                   |                               |                          |              |                       |                       |              |
| Owners of the parent                                                | 6.94                          | (149.90)                 | -105%        | 168.91                | 322.11                | -48%         |
| Loss from discontinued operations (net of tax)                      | (84.07)                       | (96.33)                  | 0%           | (189.85)              | (290.29)              | -35%         |
|                                                                     | <b>(77.13)</b>                | <b>(53.56)</b>           | <b>44%</b>   | <b>(20.94)</b>        | <b>31.82</b>          | <b>-166%</b> |

Figures in brackets indicate deductions.



| (Rs.Mns)                                    | Group           |                       | Company         |                       |
|---------------------------------------------|-----------------|-----------------------|-----------------|-----------------------|
|                                             | As at           | As at                 | As at           | As at                 |
|                                             | 31/03/2017      | 31/03/2016            | 31/03/2017      | 31/03/2016            |
|                                             | Un Audited      | Audited<br>(Restated) | Un Audited      | Audited<br>(Restated) |
| <b>ASSETS</b>                               |                 |                       |                 |                       |
| <b>Non-current assets</b>                   |                 |                       |                 |                       |
| Property, plant and equipment               | 1,029.49        | 1,041.16              | 239.57          | 244.97                |
| Intangible assets and goodwill              | 57.43           | 63.46                 | -               | -                     |
| Investment property                         | 155.00          | 86.50                 | -               | -                     |
| Investments in subsidiaries                 | -               | -                     | 476.19          | 785.43                |
| Deferred tax assets                         | 0.07            | 0.10                  | -               | -                     |
|                                             | <u>1,241.99</u> | <u>1,191.21</u>       | <u>715.76</u>   | <u>1,030.40</u>       |
| <b>Current assets</b>                       |                 |                       |                 |                       |
| Inventories                                 | 922.67          | 1,207.07              | 835.22          | 1,000.36              |
| Trade and other receivables                 | 1,371.14        | 1,717.50              | 1,312.63        | 1,678.42              |
| Amount due from related companies           | -               | -                     | 287.85          | 496.77                |
| Cash and cash equivalents                   | 159.76          | 547.52                | 38.04           | 435.97                |
|                                             | <u>2,453.57</u> | <u>3,472.10</u>       | <u>2,473.74</u> | <u>3,611.52</u>       |
| Assets classified as held for sale          | 686.92          | 820.85                | 118.71          | 121.60                |
| Total current assets                        | <u>3,140.49</u> | <u>4,292.95</u>       | <u>2,592.45</u> | <u>3,733.12</u>       |
| <b>Total assets</b>                         | <u>4,382.48</u> | <u>5,484.16</u>       | <u>3,308.21</u> | <u>4,763.52</u>       |
| <b>EQUITY AND LIABILITIES</b>               |                 |                       |                 |                       |
| <b>Equity</b>                               |                 |                       |                 |                       |
| Stated capital                              | 1,204.09        | 1,204.09              | 1,204.09        | 1,204.09              |
| Revaluation reserve                         | 396.04          | 396.04                | 91.93           | 91.93                 |
| Retained earnings                           | 801.38          | 887.32                | 718.56          | 1,187.95              |
| Equity attributable to owners of the parent | <u>2,401.51</u> | <u>2,487.45</u>       | <u>2,014.58</u> | <u>2,483.97</u>       |
| Non-controlling interests                   | -               | -                     | -               | -                     |
| <b>Total equity</b>                         | <u>2,401.51</u> | <u>2,487.45</u>       | <u>2,014.58</u> | <u>2,483.97</u>       |
| <b>Non-current liabilities</b>              |                 |                       |                 |                       |
| Employee benefits                           | 20.85           | 20.80                 | 20.70           | 20.68                 |
| Deferred tax liabilities                    | 39.68           | 151.16                | 17.62           | 122.56                |
| Deferred revenue                            | 6.83            | 6.35                  | 6.83            | 6.35                  |
|                                             | <u>67.36</u>    | <u>178.31</u>         | <u>45.15</u>    | <u>149.59</u>         |
| <b>Current liabilities</b>                  |                 |                       |                 |                       |
| Trade and other payables                    | 1,014.11        | 1,290.17              | 996.44          | 1,235.18              |
| Loans and borrowings                        | 356.79          | 1,034.24              | 150.26          | 821.70                |
| Finance lease liabilities                   | -               | 0.33                  | -               | -                     |
| Amount due to related companies             | -               | -                     | 1.15            | 2.89                  |
| Current tax liabilities                     | 58.26           | 50.20                 | 57.96           | 49.81                 |
| Bank overdrafts                             | 44.65           | 23.46                 | 42.66           | 20.38                 |
|                                             | <u>1,473.80</u> | <u>2,398.40</u>       | <u>1,248.48</u> | <u>2,129.96</u>       |
| Liabilities classified as held for sale     | 439.81          | 419.99                | -               | -                     |
| <b>Total current liabilities</b>            | <u>1,913.61</u> | <u>2,818.39</u>       | <u>1,248.48</u> | <u>2,129.96</u>       |
| <b>Total liabilities</b>                    | <u>1,980.96</u> | <u>2,996.71</u>       | <u>1,293.63</u> | <u>2,279.56</u>       |
| <b>Total equity and liabilities</b>         | <u>4,382.48</u> | <u>5,484.16</u>       | <u>3,308.21</u> | <u>4,763.52</u>       |
| <b>Net assets per share (Rs.)</b>           | 7.39            | 7.65                  | 6.20            | 7.64                  |

Figures in brackets indicate deductions.

I certify that these financial statements have been prepared in compliance with the requirements of the Companies Act No.7 of 2007.

General Manager Finance

The Board of Directors is responsible for the preparation and presentation of these financial statements.

N G R Karunaratne  
Chairman/CEO

A P Weerasekera  
Director

30th May 2017

# AgStar PLC

## Statement of Changes in Equity



(Rs.Mns)

| (Rs.Mns)                                                            | Group                                       |                     |                   |          |                           |              |
|---------------------------------------------------------------------|---------------------------------------------|---------------------|-------------------|----------|---------------------------|--------------|
|                                                                     | Equity attributable to owners of the parent |                     |                   |          |                           | Total equity |
|                                                                     | Stated capital                              | Revaluation reserve | Retained earnings | Total    | Non-controlling interests |              |
| Balance as at 1st April 2015                                        | 1,204.09                                    | 312.13              | 1,004.42          | 2,520.64 | -                         | 2,520.64     |
| Profit for the year                                                 | -                                           | -                   | (52.88)           | (52.88)  | -                         | (52.88)      |
| Other comprehensive income for the year                             | -                                           | 113.22              | 0.77              | 113.99   | -                         | 113.99       |
| Total comprehensive income for the year                             | -                                           | 113.22              | (52.11)           | 61.11    | -                         | 61.11        |
| Contributions and distributions                                     |                                             |                     |                   |          |                           |              |
| Dividend 2014/15                                                    | -                                           | -                   | (65.00)           | (65.00)  | -                         | (65.00)      |
| Total Contributions and distributions                               | -                                           | -                   | (65.00)           | (65.00)  | -                         | (65.00)      |
| Balance as at 31st March 2016 as reported previously                | 1,204.09                                    | 425.34              | 887.32            | 2,516.75 | -                         | 2,516.75     |
| Prior year adjustment                                               | -                                           | (29.30)             | -                 | (29.30)  | -                         | (29.30)      |
| Re-stated balance as at 1st April 2016                              | 1,204.09                                    | 396.04              | 887.32            | 2,487.45 | -                         | 2,487.45     |
| Profit for the year                                                 | -                                           | -                   | (23.34)           | (23.34)  | -                         | (23.34)      |
| Other comprehensive income for the year                             | -                                           | -                   | 2.40              | 2.40     | -                         | 2.40         |
| Total comprehensive income for the year                             | -                                           | -                   | (20.94)           | (20.94)  | -                         | (20.94)      |
| Depreciation impact on revaluation transferred to retained earnings | -                                           | -                   | -                 | -        | -                         | -            |
| Deferred tax impact on revaluation of property, plant and equipmce  | -                                           | -                   | -                 | -        | -                         | -            |
| Dividend paid for 2015/2016                                         | -                                           | -                   | (65.00)           | (65.00)  | -                         | (65.00)      |
| Balance as at 31st March 2017                                       | 1,204.09                                    | 396.04              | 801.38            | 2,401.51 | -                         | 2,401.51     |

|                                                                     | Company         |                     |                   |                 |
|---------------------------------------------------------------------|-----------------|---------------------|-------------------|-----------------|
|                                                                     | Stated capital  | Revaluation reserve | Retained earnings | Total equity    |
| <b>Balance as at 1st April 2015</b>                                 | <b>1,204.09</b> | <b>8.01</b>         | <b>997.93</b>     | <b>2,210.03</b> |
| Profit for the year                                                 | -               | -                   | 254.29            | 254.29          |
| Other comprehensive income for the year                             | -               | 113.22              | 0.72              | 113.94          |
| Total comprehensive income for the year                             | -               | 113.22              | 255.01            | 368.23          |
| Dividend paid for 2014/2015                                         | -               | -                   | (65.00)           | (65.00)         |
| <b>Balance as at 31st March 2016 as reported previously</b>         | <b>1,204.09</b> | <b>121.23</b>       | <b>1,187.94</b>   | <b>2,513.26</b> |
| <b>Prior year adjustment</b>                                        | -               | (29.30)             | -                 | (29.30)         |
| <b>Balance as at 1st April 2016</b>                                 | <b>1,204.09</b> | <b>91.93</b>        | <b>1,187.94</b>   | <b>2,483.96</b> |
| Profit for the year                                                 | -               | -                   | (406.76)          | (406.76)        |
| Other comprehensive income for the year                             | -               | -                   | 2.37              | 2.37            |
| Total comprehensive income for the year                             | -               | -                   | (404.39)          | (404.39)        |
| Revaluation of property, plant and equipment                        | -               | -                   | -                 | -               |
| Deferred tax impact on revaluation of property, plant and equipment | -               | -                   | -                 | -               |
| Dividend paid for 2015/2016                                         | -               | -                   | (65.00)           | (65.00)         |
| <b>Balance as at 31st March 2017</b>                                | <b>1,204.09</b> | <b>91.93</b>        | <b>718.55</b>     | <b>2,014.57</b> |

Figures in brackets indicate deductions.



| (Rs.Mns)                                                                              | For the year ended 31st March |                 |                 |                 |
|---------------------------------------------------------------------------------------|-------------------------------|-----------------|-----------------|-----------------|
|                                                                                       | Group                         |                 | Company         |                 |
|                                                                                       | 2017                          | 2016            | 2017            | 2016            |
|                                                                                       | Un Audited                    | Audited         | Un Audited      | Audited         |
| <b>Operating activities</b>                                                           |                               |                 |                 |                 |
| Profit before tax                                                                     | 244.10                        | 363.44          | (341.87)        | 375.56          |
| Loss before tax from discontinued operations                                          | (199.95)                      | (281.93)        |                 |                 |
| Adjustments for :                                                                     |                               |                 |                 |                 |
| Depreciation                                                                          | 76.04                         | 67.69           | 23.88           | 21.48           |
| Amortisation on intangible assets                                                     | 0.40                          | 0.40            | -               | -               |
| Interest income                                                                       | (4.81)                        | (2.61)          | (2.42)          | (2.61)          |
| Interest expenses                                                                     | 157.91                        | 116.84          | 92.38           | 39.89           |
| Provision for impairment of investments in subsidiaries                               |                               |                 | 589.16          |                 |
| Impairment of property plant and equipment                                            | 19.45                         |                 |                 |                 |
| Impairment of goodwill                                                                | 5.63                          |                 |                 |                 |
| Change in fair value of investment property                                           | (63.90)                       | (14.10)         |                 |                 |
| Gain on disposal of property, plant and equipment                                     | (4.72)                        | (7.74)          | (4.72)          | (7.74)          |
| Amortisation of deferred income                                                       | (1.56)                        | (2.68)          | (1.56)          | (2.68)          |
| Dividend income                                                                       | -                             | -               | (50.40)         | (52.70)         |
| Subsidy write off                                                                     | -                             | 13.45           | -               | 13.45           |
| Impairment of trade and other receivables                                             | -                             | 9.68            | -               | -               |
| Reversal of impairment on trade receivables                                           | 20.16                         | 14.40           | 14.31           | 1.13            |
| Inventories writt off/adjustment to NRV                                               | 25.57                         | 74.36           |                 |                 |
| Provision for retirement gratuity                                                     | 4.85                          | 4.38            | 4.79            | 4.30            |
| Creditors not payable written back                                                    |                               | (7.13)          |                 |                 |
| Changes in working capital:                                                           |                               |                 |                 |                 |
| (Increase)/ decrease in inventories                                                   | 328.80                        | (160.89)        | 165.14          | (684.83)        |
| (Increase)/ decrease in trade and other receivables                                   | (375.61)                      | 58.80           | (358.20)        | 43.48           |
| (Increase)/ decrease in subsidy receivable                                            | 709.69                        | 543.34          | 709.69          | 543.34          |
| (Increase)/ decrease in amounts due from related companies                            | -                             | -               | 180.05          | (84.38)         |
| Increase/ (decrease) in trade and other payables                                      | (275.86)                      | 182.52          | (238.74)        | 315.81          |
| Increase/ (decrease) in amounts due to related companies                              | -                             | -               | (1.74)          | 2.89            |
| <b>Cash generated from/(used in) operations</b>                                       | <b>666.19</b>                 | <b>972.22</b>   | <b>779.74</b>   | <b>526.40</b>   |
| Employ benefit paid                                                                   | (1.47)                        | (0.76)          | (1.47)          | (0.76)          |
| Interest expense                                                                      | (157.91)                      | (116.84)        | (92.38)         | (39.89)         |
| Income tax paid                                                                       | (169.92)                      | (308.69)        | (162.60)        | (289.81)        |
| <b>Net cash generated from/(used in) operating activities</b>                         | <b>336.88</b>                 | <b>545.93</b>   | <b>523.29</b>   | <b>195.94</b>   |
| <b>Investing activities</b>                                                           |                               |                 |                 |                 |
| Interest income received                                                              | 4.81                          | 2.61            | 2.42            | 2.61            |
| Investment in subsidiaries                                                            | -                             | (80.12)         | (241.00)        | (80.23)         |
| Dividend income received                                                              | -                             | -               | 50.40           | 52.70           |
| Proceeds from disposal of property, plant and equipment                               | 5.13                          | 11.14           | 5.13            | 11.14           |
| Acquisition of property, plant and equipment                                          | (27.09)                       | (121.76)        | (24.00)         | (117.79)        |
| Acquisition of intangible assets                                                      | -                             | -               | -               | -               |
| Addition to work in progress                                                          | -                             | (17.66)         | -               | (13.37)         |
| Addition to investment property                                                       | (4.60)                        | (3.40)          |                 |                 |
| <b>Net cash generated from/(used in) investing activities</b>                         | <b>(21.76)</b>                | <b>(209.19)</b> | <b>(207.06)</b> | <b>(144.95)</b> |
| <b>Financing activities</b>                                                           |                               |                 |                 |                 |
| Net investment in finance lease liabilities                                           | (0.33)                        | (1.01)          | -               | (1.01)          |
| Dividend paid                                                                         | (65.00)                       | (65.00)         | (65.00)         | (65.00)         |
| Borrowings - net movement                                                             | 4,373.64                      | 4,838.98        | 2,148.43        | 2,601.98        |
| Repayment of finance lease principal                                                  | (5,031.49)                    | (4,708.66)      | (2,819.86)      | (2,190.77)      |
| <b>Net cash generated from/(used in) financing activities</b>                         | <b>(723.17)</b>               | <b>64.31</b>    | <b>(736.43)</b> | <b>345.19</b>   |
| <b>Net increase/ (decrease) in cash and cash equivalents</b>                          | <b>(408.04)</b>               | <b>401.05</b>   | <b>(420.21)</b> | <b>396.18</b>   |
| <b>Cash and cash equivalents at the beginning of the period</b>                       | <b>525.62</b>                 | <b>124.57</b>   | <b>415.59</b>   | <b>19.41</b>    |
| <b>Net increase/ (decrease) in cash and cash equivalents at the end of the period</b> | <b>(408.04)</b>               | <b>401.05</b>   | <b>(420.21)</b> | <b>396.18</b>   |
| <b>Cash and cash equivalents at the end of the period</b>                             | <b>117.57</b>                 | <b>525.62</b>   | <b>(4.62)</b>   | <b>415.59</b>   |

Analysis of cash and cash equivalent at the end of the period

|                                              |               |               |               |               |
|----------------------------------------------|---------------|---------------|---------------|---------------|
| Cash at bank and in hand                     | 131.21        | 528.58        | 17.99         | 417.03        |
| Short term deposits                          | 28.55         | 18.94         | 20.05         | 18.94         |
| Bank overdrafts                              | (44.65)       | (23.46)       | (42.66)       | (20.38)       |
| Cash and cash equivalents for the purpose of | 2.46          | 1.56          |               |               |
|                                              | <u>117.57</u> | <u>525.62</u> | <u>(4.62)</u> | <u>415.59</u> |

Figures in brackets indicate deductions.



## 1 Basis of Preparation

The interim condensed financial statements have been prepared in compliance with Sri Lanka Accounting Standards LKAS 34 - Interim Financial Reporting. These interim condensed financial statements should be read in conjunction with the annual financial statements for the year ended 31st March 2017.

The presentation and classification of the financial statements of the previous year have been amended, where relevant, for better presentation and to be comparable with those of the current year.

The interim condensed financial statements are presented in Sri Lankan Rupees and all values are in Millions, unless otherwise stated.

## 2 Segment information

Management has determined the operating segments based on the reports reviewed by the Executive Board that are used to make strategic decisions.

**Trading** - Items which are directly imported and sold without further processing are categorised under this.

**Non-trading** - This segment includes the items which are further processed before sold.

Rs. Mns

|                         | Year ended 31/03/2017 |             |            | Year ended 31/03/2016 |             |            |
|-------------------------|-----------------------|-------------|------------|-----------------------|-------------|------------|
|                         | Trading               | Non-trading | Total      | Trading               | Non-trading | Total      |
| Revenue                 | 1,491.91              | 1,292.99    | 2,784.90   | 338.76                | 1,389.92    | 1,728.68   |
| Cost of sales           | (1,383.64)            | (885.29)    | (2,268.93) | (225.96)              | (925.27)    | (1,151.23) |
| Gross profit            |                       |             | 515.97     | 149.18                | 278.35      | 577.45     |
| Unallocated expenses    |                       |             |            |                       |             |            |
| Distribution expenses   |                       |             | (95.11)    |                       |             | (68.04)    |
| Administrative expenses |                       |             | (209.98)   |                       |             | (188.99)   |
| Other income            |                       |             | 77.32      |                       |             | 40.10      |
| Other Expenses          |                       |             | (5.63)     |                       |             | -          |
| Operating profit        |                       |             | 282.56     |                       |             | 360.53     |
| Net finance cost        |                       |             | (38.46)    |                       |             | 2.91       |
| Profit before tax       |                       |             | 244.10     |                       |             | 363.44     |
| Tax expense             |                       |             | (77.59)    |                       |             | (126.02)   |
| Profit for the period   |                       |             | 166.51     |                       |             | 237.42     |

Since the information on total assets and liabilities for each reportable segment are not provided to the Executive Board on regular basis, the segmented assets and liabilities are not provided.

## 3 Stated Capital

|                       |              | Number of shares   | Value of ordinary shares |
|-----------------------|--------------|--------------------|--------------------------|
|                       |              |                    | Rs.                      |
| As at 31st March 2017 | - voting     | 307,526,310        | 1,186,251,558            |
|                       | - non-voting | 17,473,690         | 17,842,120               |
|                       |              | <b>325,000,000</b> | <b>1,204,093,678</b>     |
| As at 31st March 2016 | - voting     | 307,526,310        | 1,186,251,558            |
|                       | - non-voting | 17,473,690         | 17,842,120               |
|                       |              | <b>325,000,000</b> | <b>1,204,093,678</b>     |

## 4 Twenty Major Share holders -Voting shares

|                                                       | As at 31/03/2017   |               | As at 31/03/2016 |
|-------------------------------------------------------|--------------------|---------------|------------------|
| Name of shareholders                                  | Number of shares   | Holding %     | Number of shares |
| Sierra Holdings (Pvt) Ltd                             | 97,514,400         | 31.71%        | 97,514,400       |
| Lanka Orix Leasing Company PLC                        | 60,213,500         | 19.58%        | 60,213,500       |
| Browns Investments PLC                                | 40,520,061         | 13.18%        | 40,520,061       |
| Sierra Construction (Pvt) Ltd                         | 37,025,290         | 12.04%        | 37,025,290       |
| P & K Investments (Pvt) Ltd                           | 20,500,000         | 6.67%         | 20,500,000       |
| Sampath Bank Plc                                      | 10,627,982         | 3.46%         |                  |
| Mrs.W.D.L.D.Perera                                    | -                  | 0.00%         | 10,087,200       |
| Mr.N.G.R.Karunaratne                                  | 8,229,310          | 2.68%         | 8,229,310        |
| Mr.A.P.Weerasekera                                    | 8,053,310          | 2.62%         | 8,053,310        |
| FLMC Plantations (Pvt) Ltd                            | 3,150,000          | 1.02%         | 3,150,000        |
| Mr.D.N.N.Lokuge                                       | 3,125,000          | 1.02%         | 3,125,000        |
| Mr.W.A.P.Perera                                       | 3,120,000          | 1.01%         | 3,120,000        |
| Mrs.A.C.P.Irugalandara -Joint                         | 1,500,000          | 0.49%         | 1,500,000        |
| Mr.S.Karunaratne                                      | 1,250,000          | 0.41%         | 1,250,000        |
| Sierra Engineering And Construction (Private) Limited | 1,021,607          | 0.33%         | 779,684          |
| Dr.T.Senthilvel                                       | -                  | 0.00%         | 1,115,791        |
| Mr.M.S.S.Ghazaly                                      | 1,000,000          | 0.33%         | 1,000,000        |
| Miss.G.S.M.Irugalandara                               | 1,000,000          | 0.33%         | 1,000,000        |
| Mrs.A.C.P.Irugalandara                                | 1,000,000          | 0.33%         | 1,000,000        |
| Merchant Bank of Sri Lanka (Pvt) Ltd                  |                    | 0.00%         | 418,173          |
| Mr.G.K.Fonseka                                        |                    | 0.00%         | 329,865          |
| Mr. Samsudeen                                         | 550,000            | 0.18%         |                  |
| Mrs. Mujahira                                         | 452,308            | 0.15%         |                  |
| Commercial Bank Of Ceylon PLC/L.C.R.Pathirana         | 368,745            | 0.12%         |                  |
| Total                                                 | <b>300,221,513</b> | <b>97.62%</b> |                  |

**5 Share holding -Non-voting shares**

| Name of shareholders      | As at 31/03/2017  |                | As at 31/03/2016  |
|---------------------------|-------------------|----------------|-------------------|
|                           | Number of shares  | Holding %      | Number of shares  |
| Sierra Holdings (Pvt) Ltd | 11,648,140        | 66.66%         | 11,648,140        |
| Mr.A.P.Weerasekera        | 5,824,550         | 33.33%         | 5,824,550         |
| Mr.A.B.Weerasekera        | 1,000             | 0.01%          | 1,000             |
|                           | <b>17,473,690</b> | <b>100.00%</b> | <b>17,473,690</b> |

**6 Directors' share holdings**

|                                         | As at 31/03/2017 | As at 31/03/2016 |
|-----------------------------------------|------------------|------------------|
|                                         | Number of shares | Number of shares |
| Mr.N.G.R.Karunaratne (Chairman/CEO)     | 8,229,310        | 8,229,310        |
| Mr.N.G.R.Karunaratne -Non-Voting Shares | -                | -                |
| Mr.D.N.N.Lokuge                         | 3,125,000        | 3,125,000        |
| Mr.A.P.Weerasekera (Managing Director)  | 8,053,310        | 8,053,310        |
| Mr.A.P.Weerasekera -Non-Voting Shares   | 5,824,550        | 5,824,550        |
| Mr.W.A.P.Perera                         | 3,120,000        | 3,120,000        |
| Mr.D.S.K.Amarasekara                    | -                | -                |
| Mr.I.C.Nanayakkara                      | -                | -                |
| Mr.H.P.J.de Silva                       | -                | -                |
| Mr.A.G.Weerasinghe                      | -                | -                |
| Ms.S.Wickramasinghe                     | -                | -                |

**7 Public holding**

The percentage of public holding in voting and non-voting shares as at 31st March 2017 were 16.17% and 0.01% respectively.

**8 Market prices**

|                           | Rs.  |
|---------------------------|------|
| Highest during the period | 6.80 |
| Lowest during the period  | 4.20 |
| As at 31st March 2017     | 4.30 |

**9 Events after the reporting date**

There were no material events occurred after the reporting date that require adjustments to, or disclosure in the financial statements.

**10 Commitments and contingencies**

The guarantees given to banks on behalf of AgStar Seeds (Pvt) Limited, AgStar Cropcare (Pvt) Limited, AgStar Grains (Pvt) Limited and Mahaweli Rice Processing Industries (Pvt) Limited amounting to Rs.212 Mn, Rs.129 Mn, Rs.860 Mn and Rs.200 Mn respectively.

The guarantees given to local suppliers amounting to Rs.11.1 Mn.

Apart from the above, the Company has no material contingencies and commitments as at 31st March 2017 that would affect current and future profits.

**AgStar PLC****Corporate Information**

|                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                      |                                    |                 |                                         |                    |                   |                      |                        |                    |                        |                 |                        |                    |                                    |                   |                                    |                     |                                    |
|---------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------|------------------------------------|-----------------|-----------------------------------------|--------------------|-------------------|----------------------|------------------------|--------------------|------------------------|-----------------|------------------------|--------------------|------------------------------------|-------------------|------------------------------------|---------------------|------------------------------------|
| <b>The Company</b>              | AgStar PLC                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |                      |                                    |                 |                                         |                    |                   |                      |                        |                    |                        |                 |                        |                    |                                    |                   |                                    |                     |                                    |
| <b>Legal Form</b>               | A public Quoted Company incorporated in Sri Lanka on 25th June 2002                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |                      |                                    |                 |                                         |                    |                   |                      |                        |                    |                        |                 |                        |                    |                                    |                   |                                    |                     |                                    |
| <b>Company Registration No.</b> | PV1618 PB/PQ                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |                      |                                    |                 |                                         |                    |                   |                      |                        |                    |                        |                 |                        |                    |                                    |                   |                                    |                     |                                    |
| <b>Registered Office</b>        | AgStar PLC<br>09, Bawa Place, Colombo 08<br>Tel: +94 11 4812424, +94 11 778040-3 Fax: +94 11 4810706<br>E-mail: info@agstaragri.com Website: www.agstaragri.com                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                      |                                    |                 |                                         |                    |                   |                      |                        |                    |                        |                 |                        |                    |                                    |                   |                                    |                     |                                    |
| <b>Board of Directors</b>       | <table> <tr> <td>Mr N.G.R.Karunaratne</td><td>Chairman / Chief Executive Officer</td></tr> <tr> <td>Mr D.N.N.Lokuge</td><td>Deputy Chairman/ Non Executive Director</td></tr> <tr> <td>Mr A.P.Weerasekera</td><td>Managing Director</td></tr> <tr> <td>Mr D.S.K.Amarasekera</td><td>Non Executive Director</td></tr> <tr> <td>Mr I.C.Nanayakkara</td><td>Non Executive Director</td></tr> <tr> <td>Mr W.A.P.Perera</td><td>Non Executive Director</td></tr> <tr> <td>Mr A.G.Weerasinghe</td><td>Independent Non Executive Director</td></tr> <tr> <td>Mr H.P.J.de Silva</td><td>Independent Non Executive Director</td></tr> <tr> <td>Ms S.Wickramasinghe</td><td>Independent Non Executive Director</td></tr> </table> | Mr N.G.R.Karunaratne | Chairman / Chief Executive Officer | Mr D.N.N.Lokuge | Deputy Chairman/ Non Executive Director | Mr A.P.Weerasekera | Managing Director | Mr D.S.K.Amarasekera | Non Executive Director | Mr I.C.Nanayakkara | Non Executive Director | Mr W.A.P.Perera | Non Executive Director | Mr A.G.Weerasinghe | Independent Non Executive Director | Mr H.P.J.de Silva | Independent Non Executive Director | Ms S.Wickramasinghe | Independent Non Executive Director |
| Mr N.G.R.Karunaratne            | Chairman / Chief Executive Officer                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                      |                                    |                 |                                         |                    |                   |                      |                        |                    |                        |                 |                        |                    |                                    |                   |                                    |                     |                                    |
| Mr D.N.N.Lokuge                 | Deputy Chairman/ Non Executive Director                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |                      |                                    |                 |                                         |                    |                   |                      |                        |                    |                        |                 |                        |                    |                                    |                   |                                    |                     |                                    |
| Mr A.P.Weerasekera              | Managing Director                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |                      |                                    |                 |                                         |                    |                   |                      |                        |                    |                        |                 |                        |                    |                                    |                   |                                    |                     |                                    |
| Mr D.S.K.Amarasekera            | Non Executive Director                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |                      |                                    |                 |                                         |                    |                   |                      |                        |                    |                        |                 |                        |                    |                                    |                   |                                    |                     |                                    |
| Mr I.C.Nanayakkara              | Non Executive Director                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |                      |                                    |                 |                                         |                    |                   |                      |                        |                    |                        |                 |                        |                    |                                    |                   |                                    |                     |                                    |
| Mr W.A.P.Perera                 | Non Executive Director                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |                      |                                    |                 |                                         |                    |                   |                      |                        |                    |                        |                 |                        |                    |                                    |                   |                                    |                     |                                    |
| Mr A.G.Weerasinghe              | Independent Non Executive Director                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                      |                                    |                 |                                         |                    |                   |                      |                        |                    |                        |                 |                        |                    |                                    |                   |                                    |                     |                                    |
| Mr H.P.J.de Silva               | Independent Non Executive Director                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                      |                                    |                 |                                         |                    |                   |                      |                        |                    |                        |                 |                        |                    |                                    |                   |                                    |                     |                                    |
| Ms S.Wickramasinghe             | Independent Non Executive Director                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                      |                                    |                 |                                         |                    |                   |                      |                        |                    |                        |                 |                        |                    |                                    |                   |                                    |                     |                                    |
| <b>Audit Committee</b>          | Mr H.P.J.de Silva<br>Mr A.G.Weerasinghe                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |                      |                                    |                 |                                         |                    |                   |                      |                        |                    |                        |                 |                        |                    |                                    |                   |                                    |                     |                                    |
| <b>Remuneration Committee</b>   | Mr H.P.J.de Silva<br>Mr A.G.Weerasinghe                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |                      |                                    |                 |                                         |                    |                   |                      |                        |                    |                        |                 |                        |                    |                                    |                   |                                    |                     |                                    |
| <b>Subsidiaries</b>             | AgStar Seeds (Pvt) Limited<br>AgStar Cropcare (Pvt) Limited<br>AgStar Grains (Pvt) Limited<br>AgStar Properties (Pvt) Limited<br>Mahaweli Rice Processing Industries (Pvt) Limited<br>AgStar Exports (Pvt) Limited<br>Prith Seeds (Pvt) Limited                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                      |                                    |                 |                                         |                    |                   |                      |                        |                    |                        |                 |                        |                    |                                    |                   |                                    |                     |                                    |
| <b>Secretaries</b>              | P R Secretarial Services (Pvt) Ltd<br>59, Gregory's Road, Colombo 07                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |                      |                                    |                 |                                         |                    |                   |                      |                        |                    |                        |                 |                        |                    |                                    |                   |                                    |                     |                                    |
| <b>Registrars</b>               | SSP Corporate Services (Private) Limited<br>101, Inner Flower Road, Colombo 03                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |                      |                                    |                 |                                         |                    |                   |                      |                        |                    |                        |                 |                        |                    |                                    |                   |                                    |                     |                                    |
| <b>Auditors</b>                 | KPMG<br>P O Box 186<br>32A, Sir Mohamed Macan Markar Mawatha, Colobmo 03                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                      |                                    |                 |                                         |                    |                   |                      |                        |                    |                        |                 |                        |                    |                                    |                   |                                    |                     |                                    |
| <b>Bankers</b>                  | Bank of Ceylon<br>Commercial Bank of Ceylon PLC<br>DFCC Vardhana Bank PLC<br>Hatton National Bank PLC<br>MCB Bank Limited<br>NDB Bank PLC<br>Peoples' Bank<br>Public Bank<br>Sampath Bank PLC<br>Seylan Bank PLC                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |                      |                                    |                 |                                         |                    |                   |                      |                        |                    |                        |                 |                        |                    |                                    |                   |                                    |                     |                                    |
| <b>Legal Consultants</b>        | Nithya Partners<br>97A, Galle Road, Colombo 03<br><br>Paul Ratnayake Associates<br>59, Gregory's Road, Colombo 07<br><br>Sudath Perera Associates<br>5, 9th Lane, Nawala Road, Nawala                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |                      |                                    |                 |                                         |                    |                   |                      |                        |                    |                        |                 |                        |                    |                                    |                   |                                    |                     |                                    |